UNIT–V

Dynamics of Organizational Behaviour

Organizational Culture

Meaning

Organizational Culture refers to the shared values, beliefs, norms, attitudes, and practices that influence the behaviour of employees within an organization. It represents the collective mindset that develops over time as employees interact with each other and work toward organizational goals.

In simple terms, organizational culture describes **"the way things are done in an organization."** It determines how employees communicate with one another, how they approach problem-solving, and how they respond to challenges in the workplace.

Organizational culture develops gradually through leadership styles, organizational traditions, company policies, and employee experiences. A strong culture provides clear guidance to employees about acceptable behaviour and helps create a sense of unity and belonging among organizational members.

Definitions

• **Edgar Schein:** Organizational culture is a pattern of shared assumptions learned by a group as it solves problems of external adaptation and internal integration.

This definition suggests that culture evolves as employees learn effective ways to deal with challenges both within the organization and in the external environment.

• **Stephen Robbins:** Organizational culture refers to a system of shared meaning held by members that distinguishes one organization from another.

This definition emphasizes that each organization has its own unique culture that differentiates it from other organizations.

Characteristics of Organizational Culture

1. Shared Values

Shared values represent the fundamental beliefs that employees collectively accept and follow within an organization. These values guide employee behaviour and influence decision-making processes. For example, an organization that values innovation will encourage employees to experiment with new ideas and creative solutions.

When employees share common values, they develop a sense of unity and commitment toward achieving organizational objectives. Shared values also help maintain consistency in behaviour across different departments.

2. Norms and Rules

Norms are informal standards that guide employee behaviour in the workplace. These norms may not always be written or officially documented, but they strongly influence how employees act and interact with one another.

For example, employees may follow norms regarding punctuality, teamwork, communication, and respect for colleagues. Such norms help maintain discipline and coordination within the organization.

3. Symbols and Language

Organizations often use symbols such as logos, slogans, office designs, dress codes, and special terminology to represent their culture. These symbols communicate the organization's identity and values both to employees and external stakeholders.

For instance, a company that encourages innovation may create open office spaces to promote collaboration and idea sharing.

4. Stories and Traditions

Stories about the organization's founders, major achievements, or successful employees often become part of organizational culture. These stories help communicate organizational values and inspire employees.

Traditions such as annual celebrations, employee recognition events, and company rituals strengthen employees' emotional attachment to the organization.

5. Behavioral Expectations

Organizational culture establishes expectations regarding how employees should behave within the workplace. Employees learn what behaviours are acceptable and which actions are discouraged.

These behavioural expectations help maintain discipline and create a consistent work environment across the organization.

Importance of Organizational Culture

Organizational culture plays a vital role in shaping employee behaviour and improving organizational performance.

• **Creates organizational identity** It gives the organization a unique identity that distinguishes it from other organizations.

• **Improves employee commitment** Employees who understand and accept the organization's values tend to be more committed to their work.

• **Guides employee behavior** Culture provides informal guidelines that influence how employees behave in different situations.

• **Promotes teamwork and cooperation** A positive culture encourages collaboration and mutual support among employees.

• **Enhances organizational stability** Shared values and norms create consistency in behaviour and help maintain stability within the organization.

Organizational Climate

Meaning

Organizational Climate refers to employees' perceptions and attitudes about the work environment in an organization. It represents the overall atmosphere or psychological environment experienced by employees while performing their work.

While organizational culture represents deeply rooted values and beliefs, organizational climate reflects the **current working conditions and emotional environment** perceived by employees.

For example, employees may perceive their workplace as supportive, stressful, competitive, or motivating depending on leadership practices and working conditions.

Characteristics of Organizational Climate

• Reflects employees' perceptions : Organizational climate is based on how employees interpret and evaluate their work environment.

• Influences employee motivation : A positive climate encourages employees to work enthusiastically and perform better.

• Affects productivity and morale : Employees working in a supportive environment tend to show higher morale and productivity.

• Can change more quickly than culture : Unlike culture, which develops slowly over time, organizational climate can change relatively quickly through management actions and policies.

Factors Affecting Organizational Climate

1. Leadership Style

Leadership style greatly influences the work environment. Leaders who encourage participation, respect employee opinions, and provide support create a positive organizational climate.

2. Communication System

Open and transparent communication improves trust between management and employees. Effective communication ensures that employees clearly understand organizational goals and expectations.

3. Organizational Structure

Flexible organizational structures allow employees to participate in decision-making, which improves their satisfaction and perception of the workplace.

4. Employee Participation

When employees are involved in organizational decisions, they feel valued and respected. This improves their commitment and contributes to a positive climate.

5. Reward and Recognition System

Fair reward systems motivate employees and improve morale. Recognizing employee achievements encourages positive attitudes toward the organization.

6. Work Environment

Physical conditions such as lighting, workspace design, safety, and cleanliness influence employee perceptions about the workplace.

Importance of Organizational Climate

• Improves employee motivation : A supportive climate encourages employees to perform their tasks efficiently.

• Enhances job satisfaction : Employees who work in positive environments tend to be more satisfied with their jobs.

• Promotes teamwork : Good workplace atmosphere encourages collaboration among employees.

• Reduces conflicts : Open communication and mutual respect reduce misunderstandings.

• Improves productivity and efficiency : A healthy organizational climate leads to better performance and improved results.

Job Satisfaction

Meaning

Job satisfaction refers to the degree of happiness and contentment employees experience regarding their jobs. It reflects the positive or negative feelings employees develop about their work, colleagues, supervisors, and work environment.

Employees who feel that their expectations from the job are fulfilled tend to experience higher levels of satisfaction.

Definition

Edwin Locke: Job satisfaction is a pleasurable emotional state resulting from the appraisal of one's job or job experiences.

Determinants of Job Satisfaction

1. Nature of the Work

Employees tend to be more satisfied when their jobs are interesting, challenging, and meaningful. Work that allows employees to use their abilities and skills provides a sense of accomplishment.

2. Salary and Benefits

Fair and adequate compensation plays a major role in job satisfaction. Employees expect to be rewarded appropriately for their contributions.

3. Promotion Opportunities

Career advancement opportunities motivate employees and increase job satisfaction because employees feel that their efforts will be recognized.

4. Supervision

Supportive supervisors who guide employees and provide constructive feedback improve employee morale.

5. Working Conditions

Safe and comfortable work environments improve employee satisfaction and help employees perform their tasks efficiently.

6. Relationship with Co-workers

Friendly relationships with colleagues create a supportive work environment and increase job satisfaction.

Measurement of Job Satisfaction

Organizations measure job satisfaction to understand employee attitudes and improve working conditions.

1. Surveys and Questionnaires

Employees are asked to complete surveys that measure their satisfaction levels regarding different aspects of their job.

2. Interviews

Managers conduct direct discussions with employees to gather detailed feedback about job satisfaction.

3. Observation

Employee behaviour such as absenteeism, productivity, and interactions with colleagues can provide clues about satisfaction levels.

4. Rating Scales

Tools such as **Likert scales** allow employees to rate their satisfaction levels on various job factors.

Influence of Job Satisfaction on Behavior

High job satisfaction leads to:

• Higher productivity
• Better job performance
• Lower absenteeism
• Reduced employee turnover
• Stronger organizational commitment

Low job satisfaction leads to:

• Increased stress
• Poor performance
• Workplace conflicts
• High employee turnover

Organizational Change

Meaning

Organizational change refers to any alteration or modification in the structure, processes, technology, policies, or behaviour patterns within an organization. It is a planned or unplanned process through which organizations adjust their operations in response to internal and external environmental factors.

In the modern business environment, organizations cannot remain static. Rapid technological advancements, globalization, changing customer expectations, and competitive pressures constantly force organizations to adapt. Organizational change enables companies to remain competitive, improve efficiency, and achieve long-term sustainability.

Change may involve introducing new technologies, restructuring departments, modifying business strategies, or changing employee roles and responsibilities.

Importance of Organizational Change

Organizational change is essential for organizational growth and survival. Its importance can be understood through the following points:

• **Helps organizations adapt to environmental changes** : Organizations operate in dynamic environments where market conditions, customer preferences, and technologies change rapidly. Organizational change helps businesses respond effectively to these external pressures.

• **Encourages innovation** : Change encourages organizations to adopt new ideas, technologies, and strategies. This leads to innovation and continuous improvement in products and services.

• **Improves competitiveness** : Organizations that are willing to change and adapt are better able to compete with other firms in the market.

• **Enhances organizational growth** : Through change, organizations can expand their operations, explore new markets, and improve overall performance.

• **Improves efficiency and productivity** : Implementing new systems and processes through organizational change can help employees work more efficiently and improve productivity.

Proactive Vs Reactive Change

Proactive Change

Proactive change refers to changes that organizations introduce **in anticipation of future challenges or opportunities**. These changes are planned in advance to prepare the organization for future conditions.

Example:
A company introducing artificial intelligence technologies before competitors adopt them.

Benefits of proactive change include:

• Better preparedness for future challenges
• Increased competitive advantage
• Reduced risk of sudden disruptions

Reactive Change

Reactive change occurs when organizations respond to problems or pressures **after they occur**. These changes are usually implemented as a response to unexpected events.

Example:
A company changing its strategy after experiencing a decline in sales.

Reactive change often occurs when organizations fail to anticipate environmental changes in advance.

The Change Process (Lewin's Model)

Kurt Lewin proposed a three-stage model for implementing organizational change effectively.

1. Unfreezing

The first stage involves preparing employees for change by creating awareness about the need for change. Employees must understand why the current situation is no longer suitable.

Managers may communicate problems with existing systems and explain the benefits of the proposed change.

2. Changing

In this stage, the organization introduces new systems, processes, or behaviours. Employees begin to learn new skills, adopt new technologies, and adjust to new procedures.

Training programs and support systems are often provided during this stage to help employees adapt.

3. Refreezing

The final stage involves stabilizing the organization after the change has been implemented. New practices are reinforced and integrated into daily operations so that employees accept them as normal procedures.

This stage ensures that the change becomes permanent and sustainable.

Resistance to Change

Resistance to change occurs when employees oppose or hesitate to accept organizational changes.

Common reasons for resistance include:

• **Fear of the unknown** : Employees may worry about how the change will affect their roles or job security.

• **Loss of power or status** : Some employees may resist change if they believe it will reduce their authority or influence.

• **Lack of understanding** : When employees do not clearly understand the purpose of change, they may oppose it.

• **Habit and comfort** : Employees often prefer familiar routines and may feel uncomfortable adapting to new systems.

Managing Change

Managers play a critical role in successfully implementing organizational change.

Effective strategies for managing change include:

• **Communication**: Managers should clearly explain the reasons for change and its benefits.

• **Employee participation** : Involving employees in decision-making increases acceptance of change.

• **Training and development** : Employees should be trained to acquire the skills needed to adapt to new systems.

• **Support and counseling** : Managers should provide emotional and professional support during the transition period.

• **Negotiation** : Sometimes management may negotiate with employees to address their concerns and reduce resistance.

Stress

Meaning

Stress refers to the psychological and physical tension experienced when individuals face demands or pressures that exceed their ability to cope. In organizational settings, stress often arises when employees feel overwhelmed by job responsibilities or work-related challenges.

A moderate level of stress can sometimes motivate employees to perform better. However, excessive stress can negatively affect employee health, job performance, and organizational productivity.

Work Stressors

Work stressors are factors in the workplace that cause stress among employees.

Common work stressors include:

• **Heavy Workload** : When employees are required to complete excessive tasks within limited time, they may experience stress and fatigue.

• **Role Conflict** : Employees may experience stress when they receive conflicting instructions from different supervisors.

• **Job Insecurity** : Fear of losing employment or uncertainty about future career prospects can create significant stress.

• **Long Working Hours** : Extended work hours can reduce personal time and increase mental exhaustion.

• **Poor Working Conditions** : Uncomfortable or unsafe working environments can contribute to stress.

• **Interpersonal Conflicts** : Conflicts with colleagues or supervisors can create emotional strain.

Prevention and Management of Stress

Organizations and employees can take several steps to prevent and manage workplace stress.

Organizational Strategies

• Flexible working hours
• Proper workload distribution
• Employee counseling programs
• Supportive leadership

These strategies help create a healthy work environment that reduces stress levels.

Individual Strategies

Employees can also manage stress through personal practices such as:

• Effective time management
• Regular physical exercise
• Meditation and relaxation techniques
• Maintaining a healthy work routine

These practices help employees maintain emotional and physical well-being.

Balancing Work and Life

Meaning

Work–life balance refers to maintaining a healthy relationship between professional responsibilities and personal life activities. It ensures that employees can fulfill their work duties without neglecting family responsibilities, personal interests, and health.

In modern organizations, achieving work-life balance has become increasingly important because employees often face demanding workloads and long working hours.

Importance of Work-Life Balance

Maintaining work-life balance provides several benefits:

• Reduces stress and burnout
• Improves employee well-being
• Enhances job satisfaction
• Increases productivity and efficiency
• Improves employee retention

Organizations that support work-life balance tend to have happier and more motivated employees.

Methods to Improve Work-Life Balance

Organizations can support employees in maintaining work-life balance through various initiatives:

• Flexible work schedules
• Remote or hybrid work options
• Paid leave and vacation policies
• Employee wellness programs

These practices help employees manage both professional and personal responsibilities effectively.

Organizational Development (OD)

Meaning

Organizational Development (OD) refers to a planned and systematic effort aimed at improving the effectiveness of an organization and enhancing employee well-being. It focuses on improving organizational processes, communication, leadership, and teamwork.

Organizational development uses behavioural science knowledge to help organizations adapt to change and improve overall performance.

Characteristics of Organizational Development

• **Planned and systematic process** : OD activities are carefully designed and implemented to achieve specific organizational goals.

• **Focuses on organizational improvement** : The primary objective of OD is to enhance organizational performance and effectiveness.

• **Involves employee participation** : Employees at all levels participate in OD activities to ensure successful implementation.

• **Based on behavioral science principles** : OD techniques are derived from fields such as psychology, sociology, and management science.

• **Long-term approach** : Organizational development focuses on sustainable improvement rather than short-term solutions.

Objectives of Organizational Development

The main objectives of organizational development include:

• Improving organizational effectiveness
• Enhancing employee satisfaction and morale
• Promoting teamwork and collaboration
• Improving communication within the organization
• Facilitating successful organizational change

Through these objectives, OD helps organizations build a strong and adaptive work environment.

Organizational Effectiveness

Meaning

Organizational effectiveness refers to the ability of an organization to achieve its goals and objectives efficiently while utilizing its resources in the best possible way.

An effective organization not only achieves high productivity but also maintains employee satisfaction and adaptability to environmental changes.

Indicators of Organizational Effectiveness

Several factors indicate whether an organization is effective.

• **High productivity** : Employees perform their tasks efficiently and produce high-quality outputs.

• **Employee satisfaction** ; Satisfied employees are more committed and motivated to contribute to organizational success.

• **Innovation and creativity** : Organizations encourage employees to develop new ideas and innovative solutions.

• **Profitability** : Financial success is an important measure of organizational effectiveness.

• **Adaptability to change** : Effective organizations can quickly respond to environmental changes and market challenges.